

Quality Escalation Procedure

QP-SQ-012 | Version 2.3

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Applicable Scope	Supplier performance and supplier-originated nonconformance escalation

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1. Purpose

This procedure defines Supplier Quality escalation levels, entry criteria, responsibilities, evidence, review cadence, and exit criteria. It links rate-based performance under SQM-001 with severity-based nonconformance under POL-SQ-007.

2. Scope

The procedure applies to approved production, incoming material, and critical component suppliers. It applies to rate threshold events, consecutive-quarter performance, Major or Critical deviations, repeated nonconformance, and unresolved containment or corrective action risk.

3. Definitions

Level	Name	Controlled Meaning
Level 0	Normal Monitoring	Routine KPI monitoring for performance below the review threshold with no severity override.
Level 1	Supplier Review	Documented review for a rate from 2.00% through 5.00% or another defined risk signal.
Level 2	Formal Quality Escalation	Formal containment and corrective action governance for a rate above 5.00% or a Major deviation.
Level 3	Management Review	Leadership review for repeated threshold performance, Critical nonconformance, or material sourcing risk.

Major nonconformance severity is defined in POL-SQ-007. Defect Rate is calculated according to KPI-SQ-002.

4. Roles and Responsibilities

1. Supplier Quality Engineer prepares the evidence package, recommends the entry level, and tracks actions.

2. Incoming Quality supplies inspection and deviation evidence without altering source records.
3. Supplier Quality Manager approves Level 1 and Level 2 entry, cadence, and exit recommendations.
4. Director of Quality or delegate chairs Level 3 management review.
5. Procurement assesses sourcing exposure and continuity risk when requested.
6. Document Control ensures decisions cite the active policy versions.

5. Entry Criteria

5.1 Rate-based Entry

Decision Quick Reference: If Defect Rate is below 2%, Level 0 applies. From exactly 2.00% through exactly 5.00%, Level 1 Review is Required. When Defect Rate exceeds 5%, Corrective Action is Required and Level 2 escalation applies. Exact boundary examples are: 1.99% is Acceptable; 2.00% is Review Required; 5.00% is Review Required; and 5.01% is Corrective Action Required.

Defect Rate	Required Escalation Level	Business Response
Less than 2.00%	Level 0	Normal monitoring
Greater than or equal to 2.00% and less than or equal to 5.00%	Level 1	Supplier review
Greater than 5.00%	Level 2	Formal quality escalation and corrective action required

The boundaries are exact: 1.99% is Acceptable and maps to Level 0; 2.00% is Review Required and maps to Level 1; 5.00% is Review Required and maps to Level 1; and 5.01% is Corrective Action Required and maps to Level 2.

5.2 Consecutive-quarter Rule

If the supplier exceeds the applicable review threshold for two consecutive quarters, the case must be escalated to management review. Exceeding the review threshold means Defect Rate greater than or equal to 2.00%. Therefore Q1 at 2.80% and Q2 at 3.10% require Level 3 Management Review even though neither rate exceeds 5.00%.

5.3 Severity Override

A Major deviation overrides the normal defect-rate-only classification and requires escalation. The minimum is Level 2 even when the supplier's quarterly Defect Rate is below 2.00%. A Critical nonconformance requires immediate Level 3 escalation and containment.

6. Escalation Procedure

1. Detect the rate, trend, deviation, repeated event, or other escalation trigger.
2. Confirm supplier, reporting period, applicable material, and active policy versions.
3. Assemble inspection records, approved quality records, deviation records, supplier performance reports, and containment status.
4. Calculate Inspected Count, Defect Count, and Defect Rate according to KPI-SQ-002 when rate-based evidence is used.
5. Assign the rate-based level using section 5.1.
6. Check two consecutive quarters using the same calculation scope.
7. Check Major and Critical severity under POL-SQ-007 and raise the level when required.
8. Record the entry level, rationale, owner, decision date, actions, cadence, and exit criteria.
9. Notify the supplier and internal stakeholders through approved channels.

10. Review progress until exit criteria are verified and approved.

7. Level Requirements

Level	Minimum Evidence	Review Cadence	Approval to Exit
0	Current performance record	Normal reporting cycle	Supplier Quality Engineer
1	KPI calculation, inspection history, supplier review record	At least monthly until stable	Supplier Quality Manager
2	Level 1 evidence plus containment and corrective action status	At least biweekly while exposure remains	Supplier Quality Manager with Quality Operations
3	Full evidence package, sourcing risk, open issue status, and decision record	As directed by management, no less than monthly	Director of Quality or delegate

8. Exceptions and Urgent Action

An urgent safety, regulatory, counterfeit, or severe customer risk may move directly to Level 3 without completing lower-level steps. An approved exception may adjust meeting cadence, but it shall not reduce required severity entry, change the KPI boundaries, or remove evidence traceability.

9. Records and Evidence

Escalation decisions must reference the applicable inspection records and quality evidence. The record shall include supplier, trigger, period, rate calculation when relevant, nonconformance severity, current level, prior level, containment, corrective action status, owner, attendees, decisions, due dates, exit criteria, and approvals. Retention is seven years unless a longer requirement applies.

10. Related Documents

- SQM-001, Supplier Quality Manual - governance and classification
- KPI-SQ-002, Supplier Quality KPI Definitions - quantity and trend formulas
- POL-SQ-007, Supplier Nonconformance Policy - severity and containment
- QP-INSP-004, Incoming Inspection Procedure - source evidence

11. Revision History

Version	Effective Date	Change Summary	Approver
2.2	2025-08-01	Added evidence package and level exit criteria.	Director of Quality
2.3	2026-01-01	Clarified exact thresholds, consecutive quarters, and Major/Critical overrides.	Director of Quality

End of controlled document QP-SQ-012, version 2.3.